EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sta. Teresita (LGU) was formerly barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular municipality. It has thirteen (13) barangays with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

The Municipal Government is committed to serve its constituents by maximizing the utilization of its limited resources. Like other local government units, it enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable and economic growth, as provided for RA 7160, known as the Local Government Code of 1991.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 4 LGU Assessed Value
2. Exemplary Performance on Revenue Generation and Resource Mobilization on Receipts from Economic Enterprises
3. Rank 4 on Revenue Generation and Resource Mobilization on Receipts from Business Tax.
4. Certificate of Appreciation for consistently implementing the Social Pension Program with 100% compliance on liquidation requirements.

The audit covered the accounts and operations of the Municipality of Sta. Teresita, Cagayan for the calendar year 2019 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the International Public Sector Accounting Standards (IPSAS), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, performance and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2019, with comparative figures for calendar year 2018 are as follows:

Particulars	2019	2018	Increase/(Decrease)	
			Amount	Percentage
Financial Position				
Assets	192,393,296.24	158,014,671.00	34,378,625.24	21.76%
Liabilities	51,005,241.83	47,884,433.06	3,120,808.77	6.52%
Govt. Equity	141,388,054.41	110,130,237.94	31,257,816.47	28.38%
Financial Performance				
Income	113,302,362.56	97,283,857.71	6,726,072.84	16.47%
Expense	81,739,813.18	79,932,426.03	12,489,331.70	2.26%
Appropriations, Allotments and Obligation				
Appropriations	139,790,933.87	135,645,713.03	4,145,220.84	3.06%
Allotments	139,790,933.87	135,645,713.03	4,145,220.84	3.06%
Obligations	112,969,955.75	91,600,016.57	21,369,939.18	23.33%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan as at December 31, 2018 due to the following:

1. The amount of "Road Network" account in the financial statements of the municipality amounting to P 1,978,520.72 is incomplete due to the non-recording of the amount of public infrastructure from 2016 and prior years based on the Registry of Public Infrastructures as well as the non-reconciliation with the Road Map and the Local Road Inventory Report, thus, the 100% phased recognition of the Local Road Networks in the books of the Municipality was not complied with contrary to Item IX of COA Circular No. 2015-008 dated November 23, 2015.

2. The balances of "Due from Other Funds" and "Due to Other Funds" under the Intra-agency Receivable and Payable accounts as at December 31, 2019 have an unreconciled variance amounting to P1,424,589.15, thus, the fairness of the presentation of the related assets, liabilities and other pertinent income and expense accounts may have been affected contrary to Section 111 of PD 1445.

4. Summary of Significant Audit Observations and Recommendations

Below is the recommendation on the above basis for qualified opinion:

1. We recommended that the Municipal Mayor direct the:

a) Municipal Accountant to record all road networks and its components based on the Registry of Public Infrastructures, or in its absence, based on the complete Local Road Inventory Report provided with complete description and cost segregation of the road component and proper disclosure of the road networks in the Notes to Financial Statements;

b) General Service Officer (GSO) to maintain an updated Local Road Inventory and Road Map and keep a complete Local Road Network Property Card of all roads within its area of jurisdiction;

c) Municipal Engineer to provide the Municipal Accountant and the GSO with the complete description and cost segregation of the components of all roads within its area of jurisdiction;

d) Inventory committee to conduct inventory of local roads, highways and bridges within its area of jurisdiction which were acquired thru purchase or construction, donations or transfers without cost.

2. We recommended that the Municipal Accountant review, analyze and reconcile the intra-agency accounts and exert efforts to locate the documents supporting the transfers to facilitate reconciliation and effect the necessary adjustments in the financial records of the Municipality.

The other significant audit observations and recommendations are the following:

1. Several lacking documents were not supported to the contracts of six (6) infrastructure projects undertaken thru competitive bidding, thus, the compliance of the Municipality to the pertinent requirements of the RA 9184 and its Implementing Rules and Regulation cannot be ascertained.

   We recommended that Management submit the identified lacking documents and ensure that every contract awarded through public bidding shall be duly supported with the necessary documents to warrant the conclusion that the procurements of the Municipality were compliant with the relevant provisions of RA 9184 and its Implementing Rules and Regulations in order to attain transparency, accountability, efficiency and economy in its procurement process and to preclude suspension and disallowance in audit.

2. Copy of perfected contracts entered into with several contractors/suppliers and the supporting contract documents were not submitted within five (5) working days upon perfection thereof to the Office of the Auditor for review despite being a perennial audit observation, contrary to the provisions of COA Circular No. 2009-001 dated February 12, 2009, thereby, precluding the timely evaluation of existence of deficiencies and defects, if any, in the contract and prompt advice for management's actions thereon.

We recommended that Management:

1. Submit within five (5) days the contracts and supporting procurement documents of the above-mentioned projects as well as those projects implemented but were not included in the quarterly report on the programs, projects and activities in adherence to COA Circular No. 2009-001 dated February 12, 2009; and

2. Comply with the mandatory submission of all contracts and purchase orders including all the supporting documents to enable the Audit Team to conduct timely evaluation thereof and advice Management promptly of any noted deficiencies and defects in the contracts entered into by the Municipality.

5. Summary of Total Suspensions, Disallowances and Charges

The Municipality has zero (0) Suspensions, zero (0) Disallowances and zero (0) Charges as at December 31, 2019.

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the ten (10) audit recommendations of prior year's report, six (6) were fully implemented, two (2) were partially implemented and the remaining two (2) were not implemented as at year-end.